

Profit Niti – AI Report [2025-01-01 / 2025-10-31]

Last Month KPI Data (October 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is in a critical financial situation, operating at a significant and consistent loss. For the year-to-date (YTD) FY 2024-25, the company has incurred a net loss of over ₹2,059 crore against sales of ₹3,715 crore, meaning it is losing more than ₹55 for every ₹100 of revenue. The balance sheet shows negative total equity of over ₹325 crore, indicating that accumulated losses have eroded the shareholder's capital. While there was a positive cash flow from operations in March 2025, the overall trend shows the business is heavily reliant on external borrowings and other liabilities to fund its operations and cover its losses.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Scale:** The business is generating substantial quarterly revenue, crossing ₹1,500 crore in March 2025, demonstrating significant market presence and sales volume.
- **Controlled Overhead Costs:** Selling and administrative expenses are remarkably low, at just 1-2% of revenue, indicating efficient management of fixed operational costs.
- **Healthy Cash Balance:** The company maintains a robust cash and bank balance of over ₹217 crore, providing a crucial buffer for immediate liquidity needs.

RED FLAG BOX — What Needs Attention

- **Severe Gross Loss:** The core business model is broken, with Cost of Goods Sold (COGS) exceeding sales by a wide margin, leading to a gross loss of over ₹1,986 crore YTD.
- **Negative Net Worth:** The company's total equity is deeply negative at -₹326 crore (YTD), a sign of extreme financial distress where liabilities far exceed assets.
- **Unsustainable Cash Burn:** Operating activities are burning cash, with a negative operating cash flow margin. The business is funding losses through increased borrowings and other liabilities, which is not viable long-term.

Strategic Advice:

Immediate survival depends on fixing the gross profit margin. You must conduct a urgent product/service-level profitability analysis to identify which lines are causing the heaviest losses and either renegotiate supplier costs, increase prices, or discontinue them. Simultaneously, explore debt restructuring to ease the interest burden and prepare a strict cash conservation plan to extend your runway using the existing cash balance.